Type MS · Finding missing sales, purchases and balances

Answer 1 of 7 · Question 2 part a.i · 3 marks

2023 JAN · Paper 02 · extract 1 of 3 · find part a.i in this mark scheme extract

2(a)(i)	**Award marks as indicated.** $178 750 **(3) W** **W** **$** 167 650 (21 400) **(1)** 32 500 **(1)** 178 750 **(1of)**	**(3)**

Question number	Answer	Mark
2(a)(ii)	**Award marks as indicated.** $90 000 **(3) W** **W** **$** 92 750 (15 500) **(1)** 12 750 **(1)** 90 000 **(1of)**	**(3)**

Type MS · Finding missing sales, purchases and balances

Answer 1 of 7 · Question 2 part a.i · 3 marks

2023 JAN · Paper 02 · extract 2 of 3 · find part a.i in this mark scheme extract

Question number	Answer	Mark
2(b)	**Award marks as indicated with labels.**	(12)

Yamini
Income statement for the year ended 30 September 2022

	$	$	
Revenue		178 750	**(1of)**
Cost of sales			
Opening inventory	25 750		**(1)**
Purchases	90 000		**(1of)**
Closing inventory	(27 460)		**(1)**
		(88 290)	**(1)**
Gross profit		90 460	**(1of)**
Other income			
Interest received		110	**(1)**
		90 570	
Expenses			
Depreciation charge	8 000		**(1)**
Office expenses	26 350		**(1)**
Wages	33 500		**(1)**
		(67 850)	**(1of)**
Profit for the year		22 720	**(1of)**

Question number	Answer	Mark
2(c)	**Award marks as indicated up to a maximum of 2 marks.** Consistency **(1)** Prudence **(1)** Accruals/matching **(1)** Materiality **(1)** Money measurement **(1)** Business entity **(1)** **Accept any other appropriate responses.**	**(2)**

Type MS · Finding missing sales, purchases and balances

Answer 1 of 7 · Question 2 part a.i · 3 marks

2023 JAN · Paper 02 · extract 3 of 3 · find part a.i in this mark scheme extract

Question number	Answer	Mark
2(d)	**Award up to 4 marks for discussion on both ratios and the final 1 mark for a conclusion related to the scenario.** **Sample answer.** The current ratio has increased in 2022 , meaning it will be able to pay short-term debts as they become due **(1)**. However, the business is not making efficient use of its current assets **(1)**. The liquid (acid test) ratio has worsened in 2022, meaning the business will have difficulty paying short-term debts without selling inventory **(1).** This could result in suppliers refusing to make further supplies to the business **(1)**. Therefore the business's short-term liquidity has worsened **(1)**. **Accept any other appropriate responses.**	**(5)**

(Total for Question 2 = 25 marks)

Type MS · Finding missing sales, purchases and balances

Answer 2 of 7 · Question 1 part b.i · 6 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 3 · find part b.i in this mark scheme extract

1(a) **Award marks as indicated**

Stakeholder	Interest
Suppliers **(1)**	Payment of outstanding amounts **(1)**
Providers of external finance **(1)**	To ensure that repayments will be made **(1)**
Customers **(1)**	To check on continuity of supply **(1)**
Government **(1)**	To monitor profit for tax purposes **(1)**
Investors **(1)**	To check the security of their investment **(1)**
Owner **(1)**	To check whether the business is making profits **(1)**

Accept any other appropriate responses. **(4)**

Question number	Answer	Mark
1(b)(i)	**Award marks as indicated** $53 800 **(6)** W **W** **$** 47 600 **(1)** 4 400 **(1)** (3 800) **(1)** 3 600 **(1)** 2 000 **(1)** 53 800 **(1of)** **OR** $53 800 **(6)** W **W**	**(6)**

Balance b/d	3 800 **(1)**	Cash book	47 600 **(1)**
Credit sales	48 200	Balance c/d	4 400 **(1)**
	52 000		52 000

$48 200 + $3 600 **(1)** + 2 000 **(1)** = $53 800 **(1of)**

Type MS · Finding missing sales, purchases and balances

Answer 2 of 7 · Question 1 part b.i · 6 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 3 · find part b.i in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(b)(ii)</td><td>
Award marks as indicated

$37 900 (4) W
W
$
38 200 (1)
1 600 (1)
(1 900) (1)
37 900 (1of)

OR

$37 900 (4) W
W
<table>
<tr><td>Cash book</td><td>38 200 (1)</td><td>Balance b/d</td><td>1 900 (1)</td></tr>
<tr><td>Balance c/d</td><td>1 600 (1)</td><td>Purchases</td><td>37 900 (1of)</td></tr>
<tr><td></td><td>39 800</td><td></td><td>39 800</td></tr>
</table>
</td><td>(4)</td></tr>
</table>

Type MS · Finding missing sales, purchases and balances

Answer 2 of 7 · Question 1 part b.i · 6 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 3 · find part b.i in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(c)</td><td>Award marks as shown.
Award 1 mark for all correct labels.

Abel
Income statement for the year ended
31 March 2019
<table>
<tr><th></th><th>$</th><th>$</th></tr>
<tr><td>Revenue</td><td></td><td>53 800 (1of)</td></tr>
<tr><td>Cost of sales</td><td></td><td></td></tr>
<tr><td>Opening inventory</td><td>8 600 (1)</td><td></td></tr>
<tr><td>Purchases</td><td>37 900(1of)</td><td></td></tr>
<tr><td></td><td>46 500</td><td></td></tr>
<tr><td>Closing inventory</td><td>(9 000) (1)</td><td></td></tr>
<tr><td></td><td></td><td>(37 500)</td></tr>
<tr><td>Gross profit</td><td></td><td>16 300 (1of)</td></tr>
</table></td><td>(6)</td></tr>
</table>

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(d)</td><td>Award up to 4 marks for comments on the change in liquidity and 1 mark for overall evaluation.

Sample answer

Over the year liquidity has deteriorated (1) though both ratios are still satisfactory (1).

Current (working capital) ratio indicates that the business was able to pay off its short-term liabilities in both years (1).

Liquid (acid test) ratio indicates that the business may have difficulty paying off its immediate debts without having to sell inventory (1).

Abel must take appropriate steps to improve his liquidity (1).</td><td>(5)</td></tr>
</table>

(TOTAL FOR QUESTION 1 = 25 marks)

Type MS · Finding missing sales, purchases and balances

Answer 3 of 7 · Question 1 part b.ii · 4 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 3 · find part b.ii in this mark scheme extract

1(a) **Award marks as indicated**

Stakeholder	Interest
Suppliers **(1)**	Payment of outstanding amounts **(1)**
Providers of external finance **(1)**	To ensure that repayments will be made **(1)**
Customers **(1)**	To check on continuity of supply **(1)**
Government **(1)**	To monitor profit for tax purposes **(1)**
Investors **(1)**	To check the security of their investment **(1)**
Owner **(1)**	To check whether the business is making profits **(1)**

Accept any other appropriate responses. **(4)**

Question number	Answer	Mark
1(b)(i)	**Award marks as indicated** $53 800 **(6)** W **W** **$** 47 600 **(1)** 4 400 **(1)** (3 800) **(1)** 3 600 **(1)** 2 000 **(1)** 53 800 **(1of)** **OR** $53 800 **(6)** W **W**	**(6)**

Balance b/d	3 800 **(1)**	Cash book	47 600 **(1)**
Credit sales	48 200	Balance c/d	4 400 **(1)**
	52 000		52 000

$48 200 + $3 600 **(1)** + 2 000 **(1)** = $53 800 **(1of)**

Type MS · Finding missing sales, purchases and balances

Answer 3 of 7 · Question 1 part b.ii · 4 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 3 · find part b.ii in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(b)(ii)</td><td>
Award marks as indicated

$37 900 (4) W
W
$
38 200 (1)
1 600 (1)
(1 900) (1)
37 900 (1of)

OR

$37 900 (4) W
W
<table>
<tr><td>Cash book</td><td>38 200 (1)</td><td>Balance b/d</td><td>1 900 (1)</td></tr>
<tr><td>Balance c/d</td><td>1 600 (1)</td><td>Purchases</td><td>37 900 (1of)</td></tr>
<tr><td></td><td>39 800</td><td></td><td>39 800</td></tr>
</table>
</td><td>(4)</td></tr>
</table>

Type MS · Finding missing sales, purchases and balances

Answer 3 of 7 · Question 1 part b.ii · 4 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 3 · find part b.ii in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
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Award 1 mark for all correct labels.

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Income statement for the year ended
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Sample answer

Over the year liquidity has deteriorated (1) though both ratios are still satisfactory (1).

Current (working capital) ratio indicates that the business was able to pay off its short-term liabilities in both years (1).

Liquid (acid test) ratio indicates that the business may have difficulty paying off its immediate debts without having to sell inventory (1).

Abel must take appropriate steps to improve his liquidity (1).</td><td>(5)</td></tr>
</table>

(TOTAL FOR QUESTION 1 = 25 marks)

Type MS · Finding missing sales, purchases and balances

Answer 4 of 7 · Question 2 part a.ii · 3 marks

2023 JAN · Paper 02 · extract 1 of 3 · find part a.ii in this mark scheme extract

2(a)(i)	**Award marks as indicated.** $178 750 **(3) W** **W** **$** 167 650 (21 400) **(1)** 32 500 **(1)** 178 750 **(1of)**	**(3)**

Question number	Answer	Mark
2(a)(ii)	**Award marks as indicated.** $90 000 **(3) W** **W** **$** 92 750 (15 500) **(1)** 12 750 **(1)** 90 000 **(1of)**	**(3)**

Type MS · Finding missing sales, purchases and balances

Answer 4 of 7 · Question 2 part a.ii · 3 marks

2023 JAN · Paper 02 · extract 2 of 3 · find part a.ii in this mark scheme extract

Question number	Answer	Mark
2(b)	**Award marks as indicated with labels.**	(12)

Yamini
Income statement for the year ended 30 September 2022

	$	$	
Revenue		178 750	**(1of)**
Cost of sales			
Opening inventory	25 750		**(1)**
Purchases	90 000		**(1of)**
Closing inventory	(27 460)		**(1)**
		(88 290)	**(1)**
Gross profit		90 460	**(1of)**
Other income			
Interest received		110	**(1)**
		90 570	
Expenses			
Depreciation charge	8 000		**(1)**
Office expenses	26 350		**(1)**
Wages	33 500		**(1)**
		(67 850)	**(1of)**
Profit for the year		22 720	**(1of)**

Question number	Answer	Mark
2(c)	**Award marks as indicated up to a maximum of 2 marks.** Consistency **(1)** Prudence **(1)** Accruals/matching **(1)** Materiality **(1)** Money measurement **(1)** Business entity **(1)** **Accept any other appropriate responses.**	**(2)**

Type MS · Finding missing sales, purchases and balances

Answer 4 of 7 · Question 2 part a.ii · 3 marks

2023 JAN · Paper 02 · extract 3 of 3 · find part a.ii in this mark scheme extract

Question number	Answer	Mark
2(d)	**Award up to 4 marks for discussion on both ratios and the final 1 mark for a conclusion related to the scenario.** **Sample answer.** The current ratio has increased in 2022 , meaning it will be able to pay short-term debts as they become due **(1)**. However, the business is not making efficient use of its current assets **(1)**. The liquid (acid test) ratio has worsened in 2022, meaning the business will have difficulty paying short-term debts without selling inventory **(1).** This could result in suppliers refusing to make further supplies to the business **(1)**. Therefore the business's short-term liquidity has worsened **(1)**. **Accept any other appropriate responses.**	**(5)**

(Total for Question 2 = 25 marks)

Type MS · Finding missing sales, purchases and balances

Answer 5 of 7 · Question 1 part a · 5 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 3 · find part a in this mark scheme extract

Number		
1(a)	**Award marks as indicated.** $248 780 **(5)W** **W** **Alternative presentation**	**(5)**

	$	
Customer receipts	234 800	**(1)**
Discount allowed	3 740	**(1)**
Closing balance	41 790	**(1)**
Opening balance	(31 550)	**(1)**
Credit sales	248 780	**(1of)**

Details	$	Details	$
Balance b/d	31 550 **(1)**	Cash book/ Discount allowed	3 740 **(1)**
Sales day book / Credit sales	248 780 **(1of)**	Cash book	234 800 **(1)**
		Balance c/d	41 790
	280 330		280 330
Balance b/d	41 790 **(1)**		

Type MS · Finding missing sales, purchases and balances

Answer 5 of 7 · Question 1 part a · 5 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 3 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(b)	**Award marks as indicated.**	**(15)**

Tim

Income statement for the year ended 30 April 2023

	$	$
Revenue		248 780 **(1of)**
Cost of sales		
Opening inventory	27 280	
Purchases	139 000 **(1)**	
Goods for own use	(3 950) **(1)**	
Carriage inwards	1 385 **(1)**	
	163 715	
Closing inventory	(20 130) **(1fb)**	(143 585) **(1)**
Gross profit		105 195 **(1of)**
Expenses		
Discount allowed	3 740 **(1)**	
General expenses	68 350 **(1)**	
Advertising	1 865 **(1)**	
Carriage outwards	1 090 **(1)**	
Wages	5 850 **(1)**	
Depreciation - equipment	17 160 **(1)**	98 055 **(1)**
Profit for the year		7 140 **(1of)**

Type MS · Finding missing sales, purchases and balances

Answer 5 of 7 · Question 1 part a · 5 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 3 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(c)	**Award 1 mark for identification of correct concept. Award up to 2 marks for development.** **Sample answer** The adjustment was made in compliance with the business entity concept **(1).** This states that the business is treated as separate from the owner **(1).** Therefore, this adjustment is necessary to avoid understating profits **(1).** **Accept any other appropriate responses.**	**(3)**

Question Number	Answer	Mark
1(d)	**Award 1 mark for identification and 1 mark for development.** **Sample answer** Once Tim has selected a method for depreciating a non-current asset, this should be used consistently **(1).** This will allow comparison of results from year to year **(1).** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 1 = 25 MARKS

Type MS · Finding missing sales, purchases and balances

Answer 6 of 7 · Question 1 part a.i · 4 marks

2024 NOV · Paper 02 · extract 1 of 3 · find part a.i in this mark scheme extract

Number		
1(a)(i)	**Award marks as indicated.** $67 350 **(4)W** **W** $48 200 **+** $235 000 **(1) –** $850 **(1) –** $215 000 **(1)** = $67 350 **(1)** **Alternative presentation**	**(4)**

	$		$
Balance b/d	48 200	Irrecoverable debt	850 **(1)**
Sales	235 000 **(1)**	Receipts	215 000 **(1)**
		Balance c/d	67 350
	283 200		283 200
Balance b/d	67 350 **(1)**		

Question Number	Answer	Mark
(ii)	**Award marks as indicated.** $42 250 **(3) W** **W** $37 500 + $139 875 **(1) – $**135 125 **(1)** = $42 250 **(1)** **Alternative presentation**	**(3)**

	$		$
Payments	135 125 **(1)**	Balance b/d	37 500
Balance c/d	42 250	Purchases	139 875 **(1)**
	177 375		177 375
		Balance b/d	42 250 **(1)**

Type MS · Finding missing sales, purchases and balances

Answer 6 of 7 · Question 1 part a.i · 4 marks

2024 NOV · Paper 02 · extract 2 of 3 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
(iii)	**Award marks as indicated.**	(13)

Romala
Statement of Financial Position at 31 August 2024

	$	$
Assets		
Non-current assets		
Motor vehicles		22 500 **(1)**
Current assets		
Inventory	32 600 **(1)**	
Trade receivables	67 350	
Other receivables	950 **(1)**	
Cash at bank **W1**	43 950 **(3)**	
		144 850
Total assets		167 350 **(1)**
Equity and liabilities		
Equity		
At 1 September 2023 **W2**	100 000 **(3)**	
Profit for the year	47 000 **(1)**	
Drawings	(21 900) **(1)**	
Total equity		125 100
Current liabilities		
Trade payables		42 250
Total equity and liabilities		167 350 **(1)**

Workings

W1
$21 550 + $215 000 **(1)** – $192 600 **(1)** = $43 950 **(1)**

W2
$139 250 **(1)** - $39 250 **(1)** = $100 000 **(1)**

Type MS · Finding missing sales, purchases and balances

Answer 6 of 7 · Question 1 part a.i · 4 marks

2024 NOV · Paper 02 · extract 3 of 3 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
1(b)	**Award up to 2 marks for a discussion of each concept.** **Award 1 mark for conclusion.** **Sample answer** By creating a provision for irrecoverable debts Romala will be complying with the prudence concept **(1)** as she will not be overstating either her profit for the year or the value of her trade receivables/current assets **(1)** She will also be complying with the matching concept **(1)** as the possible loss of income from irrecoverable debts will be matched with the revenue earned in that period **(1)** I would advise Romala to proceed with her proposal in order to have a more accurate set of financial statements **(1)** **Accept any other appropriate responses**	**(5)**

TOTAL FOR QUESTION 1 = 25 MARKS

Type MS · Finding missing sales, purchases and balances

Answer 7 of 7 · Question 1 part a.ii · 3 marks

2024 NOV · Paper 02 · extract 1 of 3 · find part a.ii in this mark scheme extract

Number		
1(a)(i)	**Award marks as indicated.** $67 350 **(4)W** **W** $48 200 **+** $235 000 **(1) –** $850 **(1) –** $215 000 **(1)** = $67 350 **(1)** **Alternative presentation** |	$ | | $ | | Balance b/d | 48 200 | Irrecoverable debt | 850 **(1)** | | Sales | 235 000 **(1)** | Receipts | 215 000 **(1)** | | | | Balance c/d | 67 350 | | | 283 200 | | 283 200 | | Balance b/d | 67 350 **(1)** | | |	**(4)**

Question Number	Answer	Mark
(ii)	**Award marks as indicated.** $42 250 **(3) W** **W** $37 500 + $139 875 **(1) – $**135 125 **(1)** = $42 250 **(1)** **Alternative presentation** |	$ | | $ | | Payments | 135 125 **(1)** | Balance b/d | 37 500 | | Balance c/d | 42 250 | Purchases | 139 875 **(1)** | | | 177 375 | | 177 375 | | | | Balance b/d | 42 250 **(1)** |	**(3)**

Type MS · Finding missing sales, purchases and balances

Answer 7 of 7 · Question 1 part a.ii · 3 marks

2024 NOV · Paper 02 · extract 2 of 3 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
(iii)	**Award marks as indicated.**	(13)

Romala
Statement of Financial Position at 31 August 2024

	$	$
Assets		
Non-current assets		
Motor vehicles		22 500 **(1)**
Current assets		
Inventory	32 600 **(1)**	
Trade receivables	67 350	
Other receivables	950 **(1)**	
Cash at bank **W1**	43 950 **(3)**	
		144 850
Total assets		167 350 **(1)**
Equity and liabilities		
Equity		
At 1 September 2023 **W2**	100 000 **(3)**	
Profit for the year	47 000 **(1)**	
Drawings	(21 900) **(1)**	
Total equity		125 100
Current liabilities		
Trade payables		42 250
Total equity and liabilities		167 350 **(1)**

Workings

W1
$21 550 + $215 000 **(1)** – $192 600 **(1)** = $43 950 **(1)**

W2
$139 250 **(1)** - $39 250 **(1)** = $100 000 **(1)**

Type MS · Finding missing sales, purchases and balances

Answer 7 of 7 · Question 1 part a.ii · 3 marks

2024 NOV · Paper 02 · extract 3 of 3 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
1(b)	**Award up to 2 marks for a discussion of each concept.** **Award 1 mark for conclusion.** **Sample answer** By creating a provision for irrecoverable debts Romala will be complying with the prudence concept **(1)** as she will not be overstating either her profit for the year or the value of her trade receivables/current assets **(1)** She will also be complying with the matching concept **(1)** as the possible loss of income from irrecoverable debts will be matched with the revenue earned in that period **(1)** I would advise Romala to proceed with her proposal in order to have a more accurate set of financial statements **(1)** **Accept any other appropriate responses**	**(5)**

TOTAL FOR QUESTION 1 = 25 MARKS